Research evolution | NVIDIA

Prepared October 19, 2026. The recommendation remains watch/defer.

Edition A - preserved source

The following reproduces the local Lab 3 source identified as the submitted Edition A. Its text is unchanged; PDF layout is reflowed for readability. The original source file is also embedded in this PDF. SHA-256: 382a358636084b44f8ed43586567e9b8b5643ea70e1bcd80b38c52c17ffd1e33.

Edition A | Original Lab 3 text

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# Project 1 — AI-Assisted Investment Analysis
  ## Decision and Intended User
  I will present this investment analysis to the fund's investment committee. The decision is whether the fund should
  initiate a position in NVIDIA Corporation, continue monitoring the company, or decline the investment.
  ## Company and Valuation Date
  - Company: NVIDIA Corporation
  - Ticker: NVDA
  - Valuation date: February 25, 2026
  - Information date: NVIDIA's fiscal 2026 Form 10-K, filed February 25, 2026
  - Primary source: NVIDIA fiscal 2026 Form 10-K
    (https://www.sec.gov/Archives/edgar/data/1045810/000104581026000021/nvda-20260125.htm)
  - SEC accession number: 0001045810-26-000021
  February 25, 2026 is the preliminary valuation date because it is the filing date and therefore avoids using
  information that was not available when the filing was released.
  ## Initial Thesis: Watch-Defer
  My initial recommendation is watch-defer.
  NVIDIA demonstrated exceptional revenue, profitability, and operating cash-flow performance in fiscal 2026. Its Data
  Center business is the principal operating-value driver, supported by demand for accelerated computing and artificial-
  intelligence infrastructure. NVIDIA also reported more cash and marketable securities than debt.
  However, strong company performance does not automatically make the stock attractive at every price. I do not yet have
  the historical market price, enterprise value, valuation multiples, or a completed discounted cash-flow analysis as of
  February 25, 2026. The company also faces customer concentration, large supply and cloud commitments, export
  restrictions, competition, and uncertainty about whether recent growth can be sustained.
  I would defer initiation until valuation analysis shows that the expected return provides an adequate margin of safety
  relative to these risks.
  ## Known Evidence
  Unless identified as a calculation, the following amounts were reported by NVIDIA in its fiscal 2026 Form 10-K.
  Financial amounts are in millions of U.S. dollars.
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Evidence	Fiscal 2026 amount	Relevance	Filing location
Total revenue	$215,938 million	Indicates the scale of NVIDIA's operations	Note 16
Data Center revenue	$193,737 million	Primary operating-value driver	Note 16
Net income	$120,067 million	Evidence of substantial reported profitability	Note 4 and cash-flow statement
Operating cash flow	$102,718 million	Measures cash generated through operations	Consolidated Statements of Cash Flows, page 55
Cash and cash equivalents	$10,605 million	Immediately available liquidity	Consolidated Balance Sheets, page 53
Marketable securities	$51,951 million	Additional liquid financial	Consolidated Balance Sheets and Note 7

		resources, although not identical to cash	
Debt, net carrying amount	$8,468 million	Financial obligation included in enterprise-value analysis	Note 11
Diluted weighted-average shares	24,514 million shares	Denominator used to calculate diluted earnings per share	Note 4
Diluted earnings per share	$4.90	Reported diluted profitability per share	Note 4
Manufacturing, supply, and capacity commitments	$95,200 million	Creates execution and demand risk if expected sales do not materialize	Note 12
Cloud-service commitments	$27,000 million	Supports research and development but creates significant future obligations	Note 12

Cash plus marketable securities less debt equals approximately $54,088 million of net financial liquidity:

[
$10{,}605 + $51{,}951 - $8{,}468 = $54{,}088\text{ million}
]

This is my calculation based on reported filing amounts, not a separately reported NVIDIA measure.

Data Center revenue represented approximately 89.7% of total revenue:

[
$193{,}737 \div $215{,}938 \approx 89.7%
]

This concentration demonstrates the importance of Data Center demand to NVIDIA’s value while also showing that the investment thesis depends heavily on that market.

NVIDIA also reported customer concentration. One direct customer represented 22% of fiscal 2026 revenue, while another represented 14%. This creates risk if a major customer reduces purchases, develops competing technology, or gains bargaining power.

Consequential Assumptions

1. AI infrastructure demand remains durable.
   The thesis assumes that demand reflects a lasting increase in computing requirements rather than temporary over-ordering.
2. Data Center growth remains economically attractive.
   Future revenue must generate sustainable margins and cash flow, not merely additional sales volume.
3. NVIDIA maintains a competitive advantage.
   The company must continue differentiating its hardware, networking, software, and developer ecosystem despite competition and customer-developed chips.
4. Supply commitments convert into profitable sales.
   NVIDIA’s large manufacturing and capacity commitments assume sufficient future demand. A demand slowdown could result in excess inventory, purchase-obligation charges, or weaker margins.
5. Export restrictions remain manageable.
   The analysis assumes regulatory restrictions will not eliminate a materially larger portion of NVIDIA’s addressable market.
6. Customer concentration does not materially weaken NVIDIA’s position.
   Major customers must continue purchasing NVIDIA products without gaining enough bargaining power to substantially reduce NVIDIA’s margins.
7. The market price permits an adequate expected return.
   Even optimistic operating results may produce a poor investment if the stock price already reflects more aggressive expectations.

Important Unknowns

- NVIDIA’s closing share price and market capitalization on February 25, 2026

- Enterprise value on the valuation date
- The amount of dilution not fully captured by basic shares outstanding
- Sustainable long-term Data Center growth
- Sustainable gross and operating margins
- Normalized free cash flow after capital expenditures
- Appropriate weighted average cost of capital
- Appropriate terminal-growth rate
- Customer capital-spending plans and the possibility of overbuilding AI capacity
- The competitive effect of custom chips and competing accelerators
- The financial effect of current and possible future export restrictions
- Whether the Groq transaction will generate returns above its cost
- The probability that supply, capacity, and cloud commitments become underutilized
- A reasonable valuation range under downside, base, and upside scenarios

Research Plan

1. Obtain NVIDIA’s adjusted closing share price on February 25, 2026 from a reliable historical market-data source.
2. Reconcile basic shares outstanding, diluted weighted-average shares, equity awards, and other potential dilution before estimating equity value.
3. Calculate market capitalization and enterprise value using consistent valuation-date inputs.
4. Extract at least three years of revenue, operating income, operating cash flow, capital expenditures, and relevant segment results from NVIDIA’s SEC filings.
5. Calculate historical growth, margins, free cash flow, and returns on invested capital while checking the treatment of stock-based compensation and acquisition costs.
6. Build downside, base, and upside scenarios for Data Center revenue growth, operating margins, reinvestment, and free cash flow.
7. Construct a discounted cash-flow valuation using explicit assumptions for growth, margins, reinvestment, discount rate, and terminal value.
8. Compare NVIDIA with relevant semiconductor and computing-infrastructure companies using consistently defined enterprise-value and equity-value multiples.
9. Stress-test the valuation for slower AI spending, customer losses, lower margins, export restrictions, excess capacity, increased competition, and additional dilution.
10. Establish an initiation price that offers an appropriate margin of safety and identify evidence that would cause the thesis to be revised or rejected.

Partner-Generated Falsification Question

> [Insert the partner’s exact question here without adding the partner’s answer.]

I will answer this question only after preserving it in its original partner-generated form. Its purpose is to identify evidence that could disprove or materially weaken my thesis rather than merely confirm it.

Preliminary Conclusion

NVIDIA’s fiscal 2026 filing provides strong evidence of revenue growth, profitability, cash generation, and financial liquidity. Data Center revenue is the central operating-value driver, but it also creates material concentration in the investment thesis.

The current evidence supports continued research, not an immediate purchase. I would change the recommendation from watch-defer to initiate only if a price-based valuation demonstrates an attractive expected return under reasonable assumptions and remains acceptable under meaningful downside scenarios.

Replace only the partner-question placeholder with your partner’s exact wording. Record the actual Edition A receipt identifier in the lab checkout; do not invent one or modify the preserved Edition A file

Edition B | Research evolution

Prepared October 19, 2026. Decision: watch/defer. The prior lab judgments and revisions are adopted for this analysis. The original recommendation remains unchanged because the evidence supports continued valuation work, not an immediate position.

What developed after Edition A

Edition A identified a strong operating business but no established attractive entry price. Subsequent work added the DCF, a qualified peer comparison, company-specific three-statement forecasts, sensitivity tests and a reproducible local workbench. The final decision is now tied to explicit assumptions, failure conditions and a conditional model range.

Item	Edition A	Edition B	Driver and evidence
Recommendation	Watch/defer until valuation supports initiation	Watch/defer; no initial purchase on the present evidence	No material action change. Labs 08/12 and revised model show unresolved price/assumption disagreement.
Business driver	Data Center demand and durable advantage matter	Forecast Data Center separately; trace growth through profit, reinvestment and FCFF	Course pro-forma method and accepted model design; Lab 10 and project1_model.py.
Valuation	DCF and peer work planned	Linked FCFF range $50.27-$87.17; $66.22 base. P/E remains diagnostic	Model development and evidence review; saved results and Lab 08 policy.
Model design	No completed five-year valuation	Three statements drive FCFF; WACC discounts enterprise cash flow; cash/debt/share bridge follows	Financial-method correction: earlier lab FCFE and separate FCFF-growth engines were not the final integrated architecture.
Depreciation	No forecast expense reconciliation	Depreciation is not subtracted twice from operating income	Corrected code using filing arithmetic: 153,463 gross profit - 18,497 R&D - 4,579 SG&A = 130,387 operating income.
Source/date boundary	Preliminary February 25, 2026 valuation date	FY2026 accounting base with a September 10 market reference; mismatch disclosed	Source-definition review; not presented as an updated October valuation.
Uncertainty	Growth, valuation and competitive risks unresolved	Growth, WACC, terminal dependence, date alignment, normalization and dilution remain decision-critical	Labs 11/12, sensitivity and reverse DCF; limitations govern action.

Methods and results are version-specific

The saved Lab 06 independent FCFF-growth DCF produced about **$60.00**. Lab 10's FCFE forecast produced **$62.97**; Lab 11's Data Center-only operating sensitivity spanned **$54.03-$73.29**. These are preserved historical results, not alternate outputs of the final runner.

The revised runner derives FCFF from the statements, corrects the depreciation treatment and uses an explicit operating-cash reserve and enterprise-to-equity bridge. Its **$66.22** base and **$50.27-$87.17** combined-case range supersede those figures for the current project demonstration. Changing several model conventions means the difference is not attributable solely to a single driver.

One material output corrected and independently checked

The earlier generated pro-forma applied gross margin and functional-expense ratios, then deducted depreciation again. The correction is to include depreciation in those operating expense measures and add it back only when calculating operating cash flow/FCFF, while retaining it in the PP&E roll-forward.

The independent source check uses the FY2026 consolidated income statement: **153,463 - 18,497 - 4,579 = 130,387 million**. Those expenses already reconcile gross profit to reported operating income. A second standalone deduction is unsupported by that definition. **Disposition: corrected.** The named source concepts, filing hash and calculation are saved in outputs/project1-operating-income-check.json. Accounting/FCFF tests then check the revised calculation, without treating a passing test as proof of the forecast assumptions.

How challenges affected the decision

Lab 11's growth-range test matters because five annual shifts compound; its ranking is limited to the selected ranges. Lab 12's challenge that discount-rate uncertainty remained untested changes research priorities: the final runner now includes WACC/terminal-growth sensitivity. The reverse DCF shows the demanding growth path needed to reconcile the saved market reference with the model if other assumptions remain fixed.

The qualified peer exercise supplies conflicting evidence rather than a valuation shortcut. Different earnings bases and business mixes explain why its multiples cannot be transferred mechanically. An enterprise-value peer calculation is still missing and is treated as an evidence gap, not as a completed cross-check.

Current conditions and remaining uncertainty

The five-year forecast is the analytical horizon. The action is to defer a new position and review the next earnings evidence. A refreshed downside case near or above the relevant price, with supported cash-flow assumptions, dilution and discount rate, could support reconsideration. Persistent weak demand, margin pressure or unproductive reinvestment could support do not initiate.

The current range is conditional historical model output. It does not resolve later-quarter information, interim valuation-date timing, normalized base-year cash flows, point-in-time diluted shares, other equity claims or terminal reinvestment. That uncertainty is a reason to defer, not to disguise the range as a precise current price target.

What changed, and why? The recommendation did not change. The evidence, model integration, diagnostics and conditions became more explicit. The adopted conclusion is stronger as a conditional research decision, while the incomplete valuation evidence prevents claiming a fully investment-ready intrinsic-value range.

Sources: unchanged Edition A below/above; lab06_nvda.md, lab08_nvda.md, lab10_nvda.md, lab11_nvda.md, lab12_nvda.md; NVIDIA FY2026 Form 10-K; outputs/project1-results.json, project1-validation.json and project1-operating-income-check.json.